

GMVML FAQ Response – Service Charge Benchmarking

The board recognises that the level of service charges at GMV West are high and there are continual efforts to identify areas for cost savings – both in the reserves and in the day-to-day service charge.

To make meaningful savings to the overall charges we pay, it is revisions to the reserves that are likely to make the biggest difference. Artificially / temporarily reducing the Reserves from the Service Charge demands doesn't save any money. It simply delays the charges for another day and masks the true expenses scheduled for the building. The focus therefore needs to be reviewing and analysing each line in the CapEx in order to find ways to either reduce the costs/scope of works required, consideration of designing costly elements out when completing works and pushing the frequency of work out over longer periods. Whilst we have **£8,186,679** in reserves across all blocks (figures accurate as of May 2023), the actual potential CapEx expenditure for 25 years is **£61,814,078 or £2,472,563** per year. This comes in different cycles and expenditure is not evenly spread across years, so looking at spend for just the next year or two will not highlight significant items that are due in the next few years. There is a separate detailed note on the reserves and this one is focused on benchmarking the overall service charge levels against data we have obtained from other sites.

The four benchmarks we were able to obtain are – Peartree Way, Greenwich Peninsula Lower Riverside, Greenwich Peninsula Upper Riverside and MOAT (10 comparable London schemes).

For the purpose of this exercise, we have grouped properties into different categories - Houses, flats without lifts, flats with lifts and commercial.

	Block SC £ per sq ft	Estate SC £ per sq ft	Total SC £ per sq ft	Block Res £ per sq ft	Estate Res £ per sq ft	Total Res £ per sq ft	Total SC + Res £ per sq ft	Range £ per sq ft
GMV West Houses	1.14	1.82	2.95	1.49	0.10	1.59	4.54	3.73 - 4.8
GMV West Flats (no lift)	2.16	1.82	3.97	2.18	0.10	2.28	6.26	4.53 - 7.51
GMV West Flats (with lifts)	2.86	1.82	4.68	1.77	0.10	1.87	6.55	5.42 - 8.71
GMV West Commercial	1.42	1.82	3.23	0.90	0.10	1.00	4.24	3.41 - 4.24
GMV East (Peartree Way)	3.02	0.65	3.67	0.25	0.01	0.26	3.94	2.85 - 5.15
Lower Riverside	4.19	0.61	4.79	0.35	0.00	0.35	5.14	5.14 - 7.97
Upper Riverside	6.78	0.76	7.54	0.58	0.00	0.58	8.12	7.51 - 8.32
MOAT Benchmark (10)	6.24		6.24				6.24	4.64 - 7.54

(Note: SC = Service Charge and Res = Reserves. Costs stated are £ per square foot)

Whilst no benchmark is fully identical as the blocks have different maintenance obligations, materials, ages, etc. this hopefully provides a view on some comparative figures across similar nearby large schemes.

Benchmark Schemes

GMV East / Peartree Way



GMV East or Peartree Way is the next phase of GMV. It is of a comparable size with the following key differences:

- The management company is still retained by the developer with no leaseholder directors. They are likely to keep service charges artificially low and there is very little going into reserves
- The cladding is largely thin brick, and the windows are all aluminum. Given these design choices the long-term maintenance and reserve obligations are likely to be lower, when they decide to develop their reserves plan.

Greenwich Peninsula – Lower Riverside



Lower Riverside are the blocks next to GMV West going towards the station. The scheme excludes the two Bellway blocks by the river as they were sold and constructed prior to Knight Dragon taking over. It is of similar construction with the following key differences:

- The developer retains control of the management company. Knight Dragon own the whole Greenwich Peninsula site so may do this long term. Whist reserves are low the service charge and maintenance seem good and well-funded.
- The cladding is a mix of materials, and the windows are all aluminum. Given these design choices the long-term maintenance and reserve obligations are likely lower. We've been advised that the developer has instructed and received detailed CapEx plans. They are beginning to implement recommendations and the reserve charges are likely to go up significantly as the buildings age.
- Despite their recent construction there were some missing fire breaks. The developer got the sub-contractor to remediate this across a number of blocks at their cost to achieve an EWS1 B1 rating. This work is largely complete (excl. the Bellway blocks that they don't manage).

Greenwich Peninsula – Upper Riverside



Upper Riverside is the blocks next to the O2 by the river. The scheme is not directly comparable based on build material and amenities but is included to give an idea of costs for a high-end scheme:

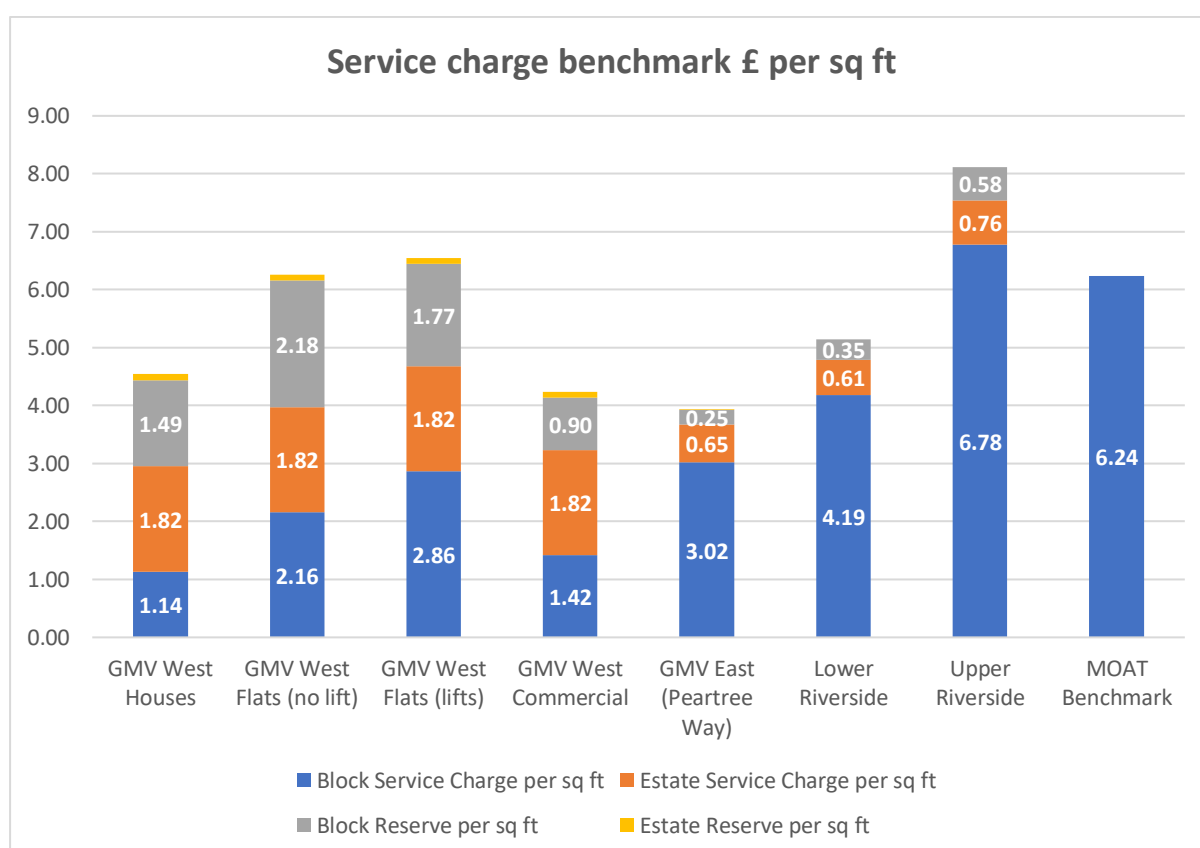
- The developer retains control of the management company. Knight Dragon own the whole Greenwich Peninsula site so may do this long term. Whist reserves are low the service charge and maintenance seem good and well-funded.
- Similar to Lower Riverside, we've been advised that the developer has instructed and received detailed CapEx plans. They are beginning to implement recommendations and the reserve charges are likely to go up significantly as the buildings age.
- The cladding is a mainly glass and the windows are all aluminum. Given these design choices the long-term maintenance and reserve obligations are likely lower
- The blocks include a number of amenities such as a gym, pool, Spa, cinema, etc. These elements, that we don't have in GMV West, add to the increase in the cost.

Around 149 flats also have 'comfort cooling' or air conditioning and pay £0.48 extra per square foot for this.

MOAT schemes

MOAT have provided overall SC figures from 10 schemes in London they have housing in. These may vary in terms of facilities, construction type, age, reserves, etc. but are a similar size. Hopefully this does give an overall view although no breakdown was provided.

Benchmark Data



As per the benchmark data our overall level of service charge collection (block (blue) and estate (orange)) is comparable to other schemes – Peartree Way, Lower Riverside and MOAT. Upper Riverside are significantly more owing to their facilities.

Where there is a difference is in reserves. Given the age of GMV and the boards view to ensure the significant costs coming up for maintaining the village are apportioned to owners throughout the time of ownership (and not significant one-off demands) the charges for reserves are higher. The other schemes are newer and still controlled by developers so it is likely that their reserves will begin to rise as the building age and maintenance obligations are priced up.

The figures above do exclude car parks as we didn't have comparative figures for other schemes. For completeness the figures are included below:

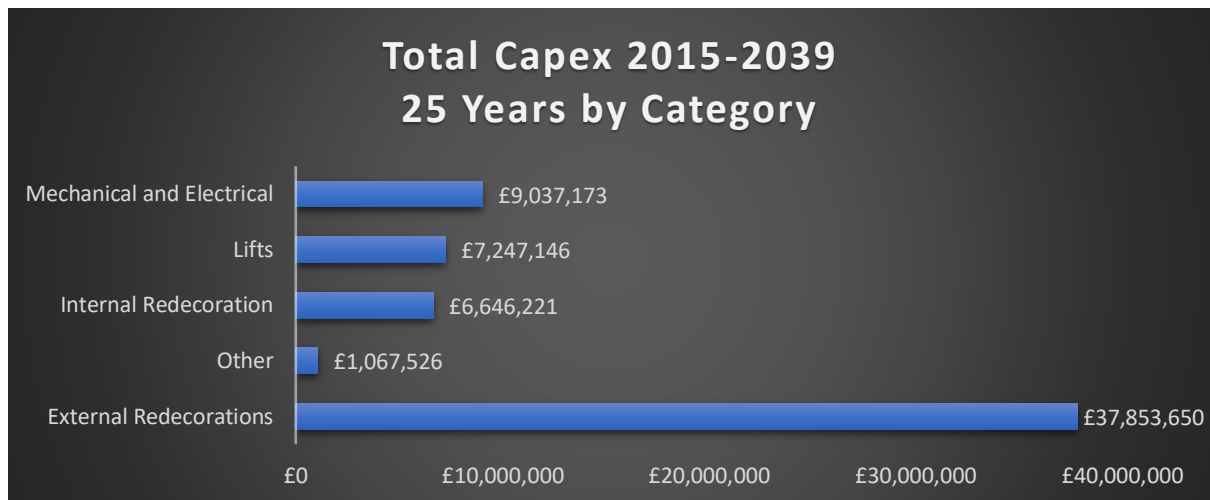
Car Park	Service Charge	Reserve
Holly Court Car Park	£727.07	£43.32
Metcalfe Court Car Park	£608.72	£72.96
Maurer Court Car Park	£575.07	£65.08
Moseley Row Car Park	£317.45	£79.05

The full breakdown by block is included below so you can compare figures for your block. Variances are down to the individual make-up of blocks. As a principle no block should subsidise another.

Block	Type	Number of units	Block SC £ per sq ft	Estate SC £ per sq ft	Total SC £ per sq ft	Block Res £ per sq ft	Estate Res £ per sq ft	Total Res £ per sq ft	Total SC + Res £ per sq ft
Kilby Court Houses	Residential House	11	1.04	1.82	2.85	0.77	0.10	0.87	3.73
Maurer Court Houses	Residential House	5	1.74	1.82	3.56	0.83	0.10	0.93	4.49
Edison Court Houses	Residential House	24	1.08	1.82	2.89	1.75	0.10	1.85	4.75
Cottrell Court Houses	Residential House	15	1.04	1.82	2.86	1.84	0.10	1.94	4.80
Moseley Row	Res Flat - No Lift	14	1.39	1.82	3.21	1.22	0.10	1.32	4.53
Kilby Court Apartments	Res Flat - No Lift	55	1.84	1.82	3.66	1.66	0.10	1.76	5.42
Becquerel Court Low Rise	Res Flat - No Lift	48	2.70	1.82	4.51	2.45	0.10	2.55	7.07
Cottrell Court Apts	Res Flat - No Lift	20	2.15	1.82	3.97	3.14	0.10	3.24	7.22
Edison Court Apts	Res Flat - No Lift	25	2.45	1.82	4.26	3.15	0.10	3.25	7.51
Farnsworth Court Apartments	Res Flat - Lift	120	2.12	1.82	3.94	1.37	0.10	1.48	5.42
Alamara Lodge	Res Flat - Lift	44	2.38	1.82	4.19	1.93	0.10	2.03	6.22
Holly Court	Res Flat - Lift	166	2.35	1.82	4.17	2.00	0.10	2.10	6.26
Faraday Lodge	Res Flat - Lift	56	2.87	1.82	4.69	1.56	0.10	1.66	6.35
Maurer Court Apts	Res Flat - Lift	194	3.30	1.82	5.12	1.52	0.10	1.62	6.74
Newton Lodge	Res Flat - Lift	46	2.99	1.82	4.80	1.89	0.10	1.99	6.79
Metcalfe Court Apts	Res Flat - Lift	168	3.36	1.82	5.17	1.58	0.10	1.68	6.85
New Becquerel Court Hi Rise	Res Flat - Lift	30	2.78	1.82	4.59	2.35	0.10	2.45	7.04
Becquerel Court Hi Rise	Res Flat - Lift	40	2.94	1.82	4.76	3.24	0.10	3.35	8.10
Da Vinci Lodge Apts	Res Flat - Lift	20	3.83	1.82	5.65	2.42	0.10	2.53	8.17
Osier Lane Commercial	Commercial	3	0.69	1.82	2.51	0.80	0.10	0.90	3.41
Newton Commercial	Commercial	2	1.28	1.82	3.10	0.72	0.10	0.82	3.92
Metcalfe Commercial	Commercial	6	1.26	1.82	3.08	0.86	0.10	0.97	4.05
Da Vinci Commercial	Commercial	1	1.46	1.82	3.28	1.42	0.10	1.52	4.80
Maurer Commercial	Commercial	1	2.89	1.82	4.71	0.92	0.10	1.02	5.73

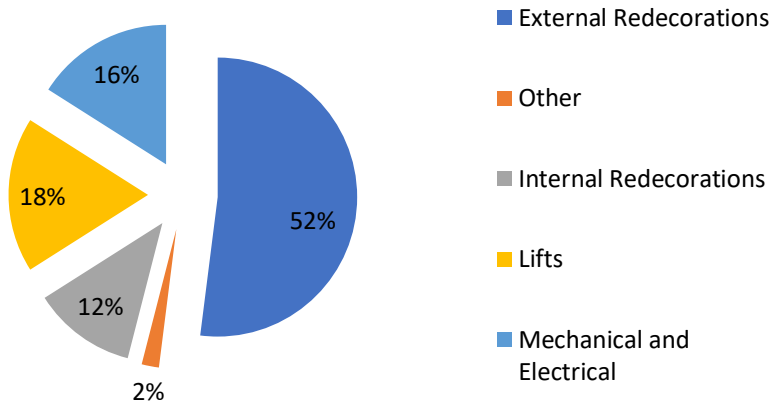
Note – The figures above exclude car parking as previously stated.

As previously mentioned, the key difference between GMV West and nearby sites is that we are now leaseholder led (not developer) and given the comparative age we are saving significantly towards known maintenance obligations in reserves. Some cyclical items are in 5-25 year cycles from a budget perspective. The chart below gives an overview of costs for all of GMV West from 2015 – 2039 for 5 key categories.

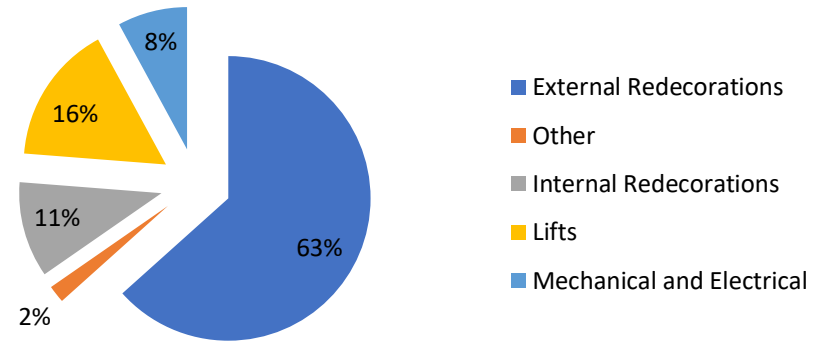


The breakdown by block on the following pages will give you an idea of what categories are the biggest area for your block over the life of the CapEx plan (2015-2039). In most instances this will be external works and lifts (if applicable).

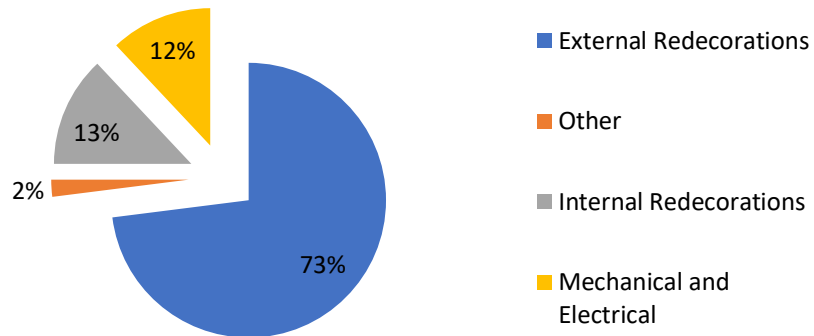
Alamaro



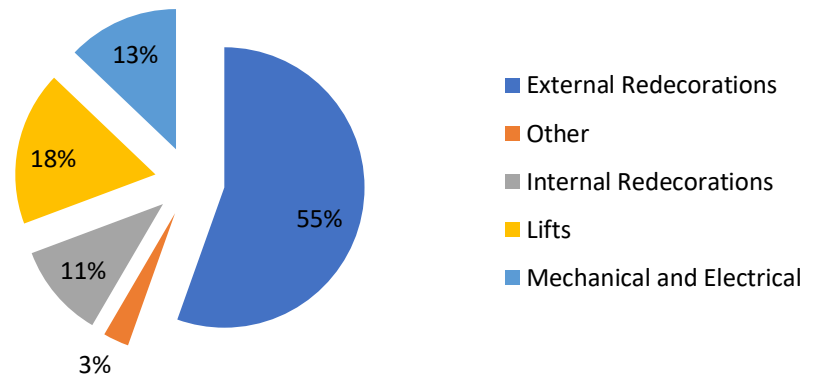
Bec High Rise



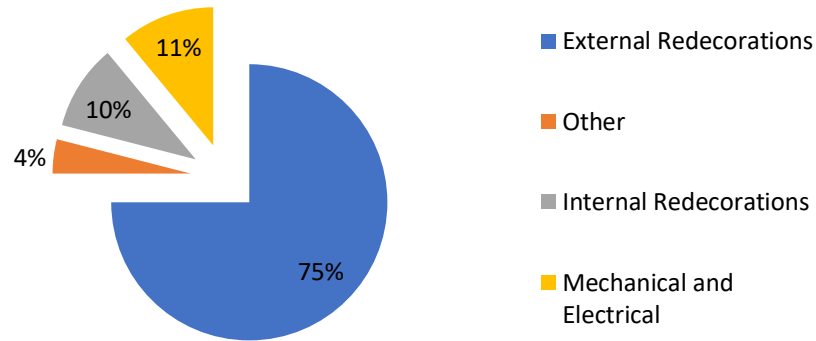
Bec Low Rise



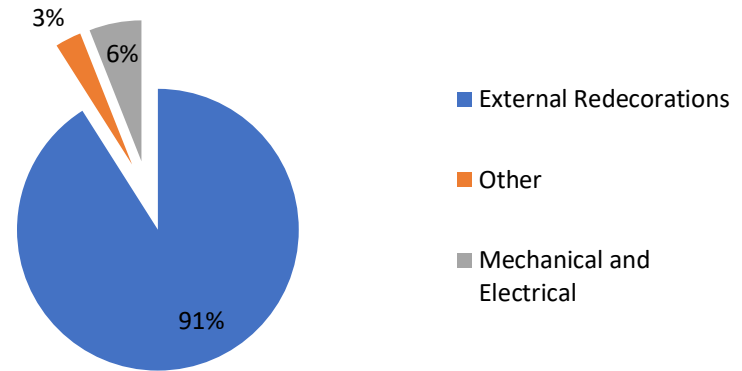
Bec New



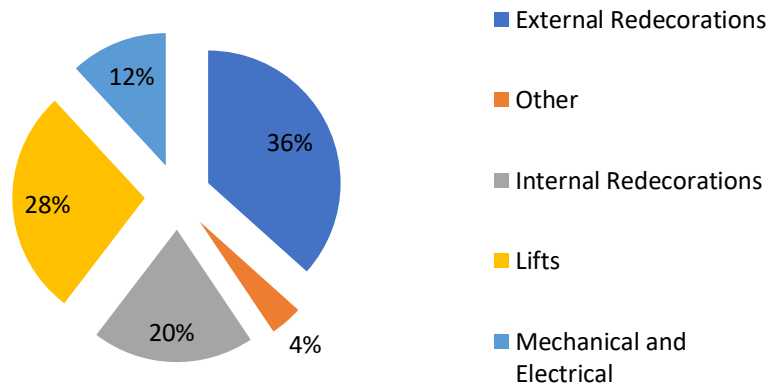
Cottrell Flats



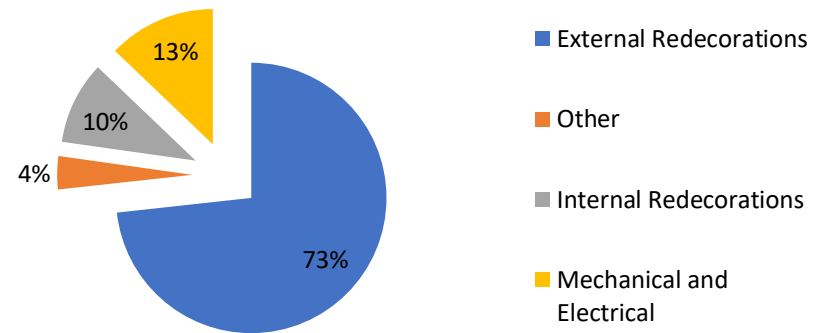
Cottrell Houses



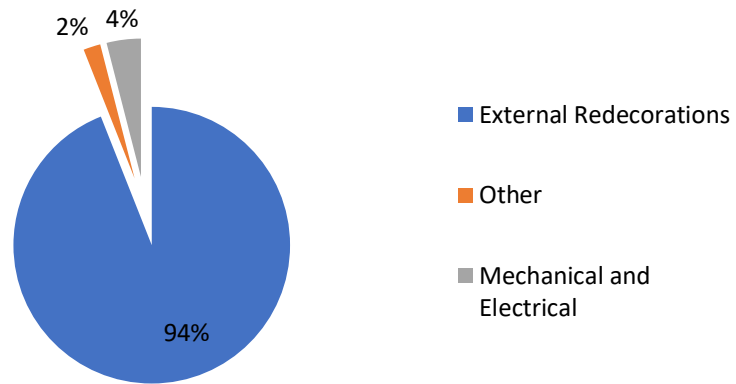
Da Vinci



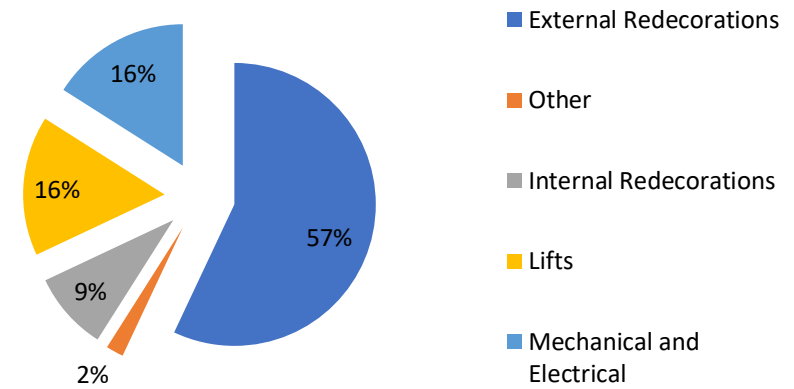
Edison Flats



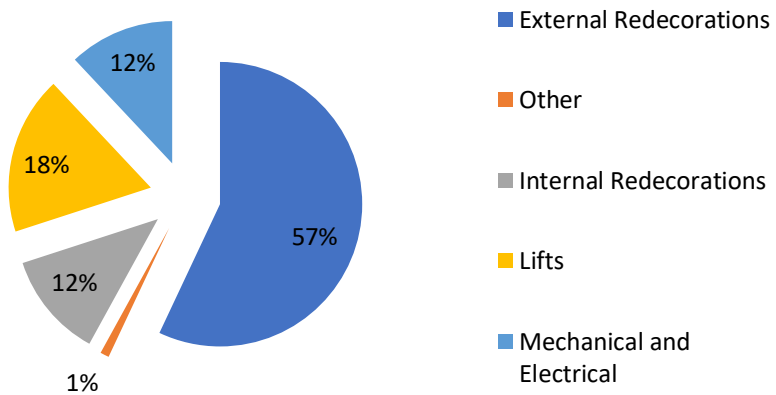
Edison Houses



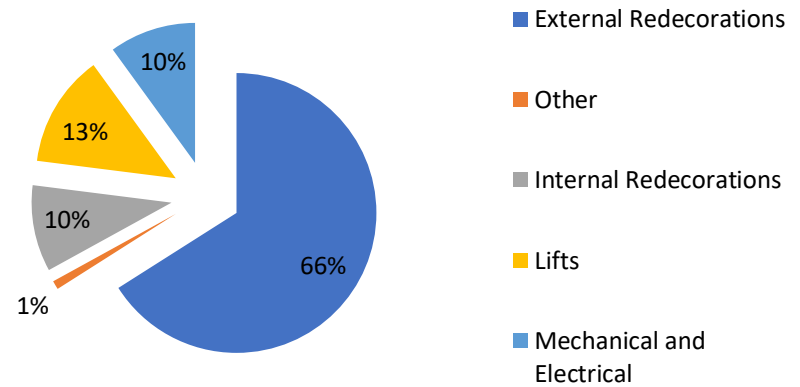
Faraday



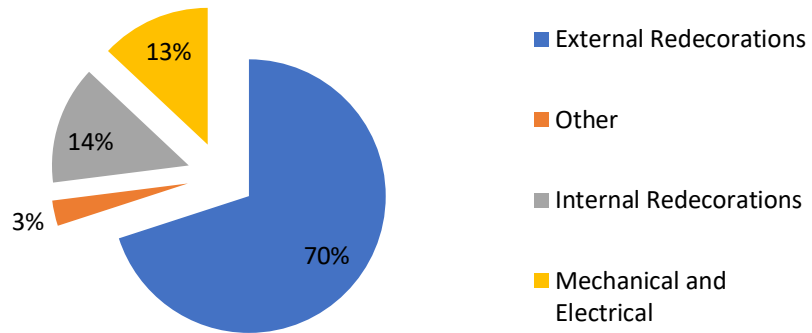
Farnsworth



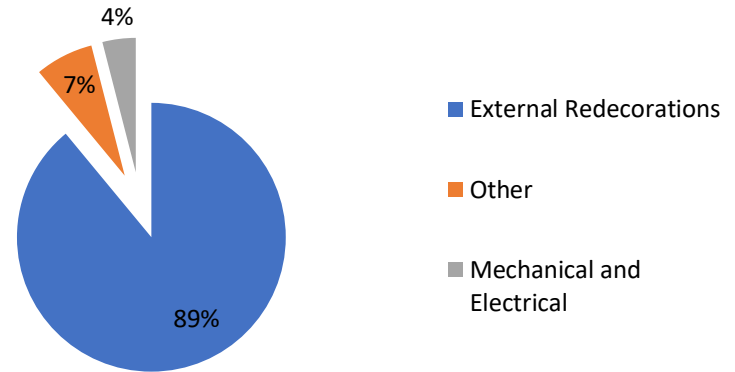
Holly



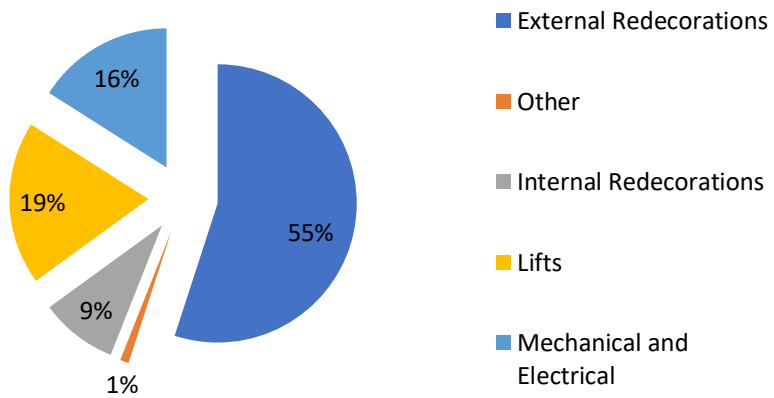
Kilby Flats



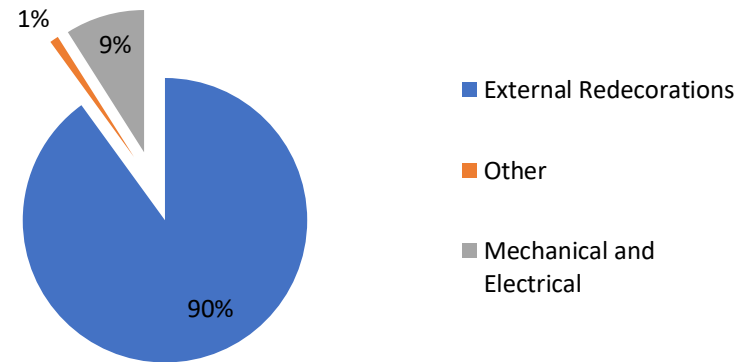
Kilby Houses



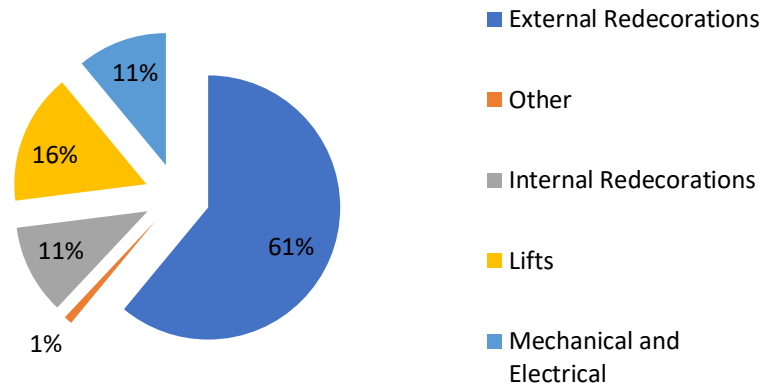
Maurer Flats



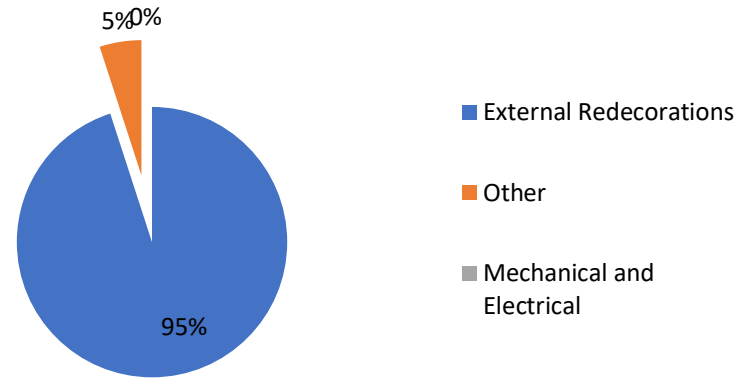
Maurer Houses



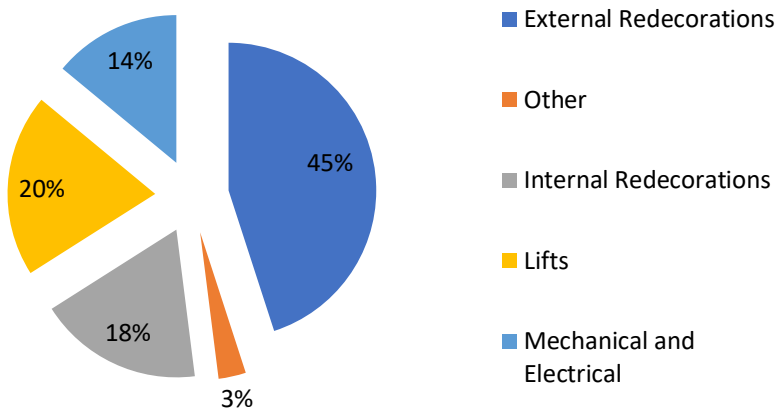
Metcalfe



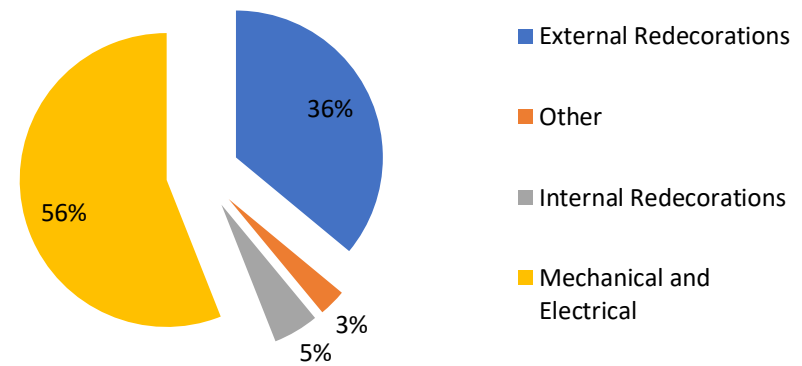
Moseley Row



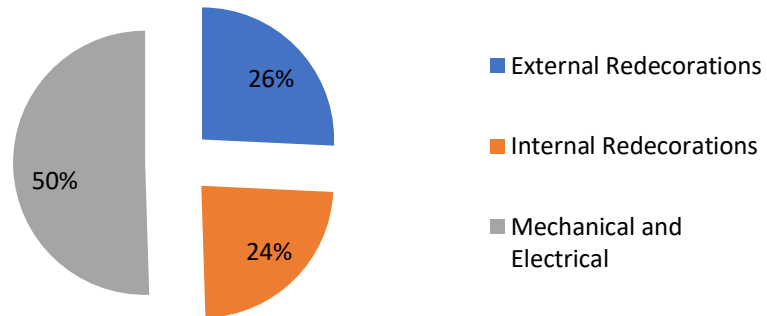
Newton Flats



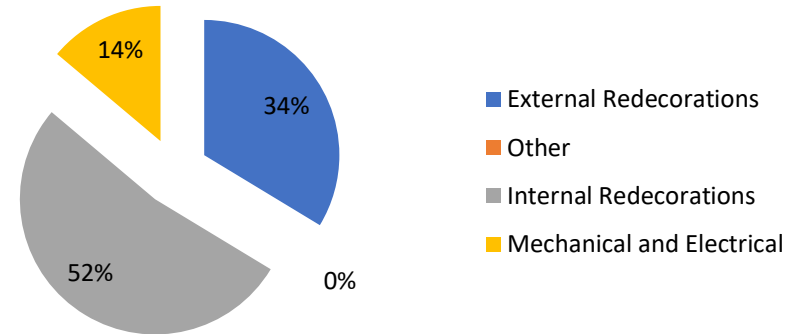
Estate



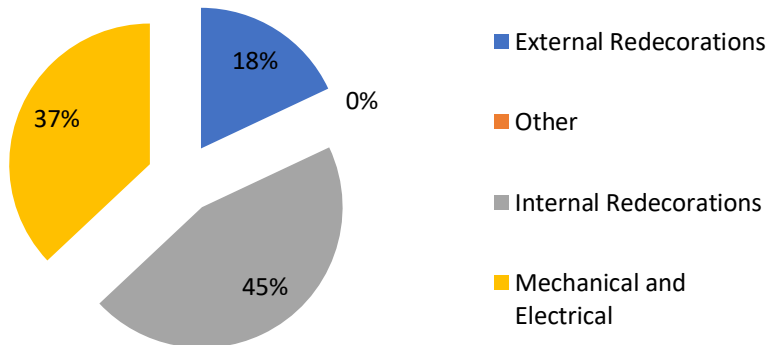
Holly Car Park



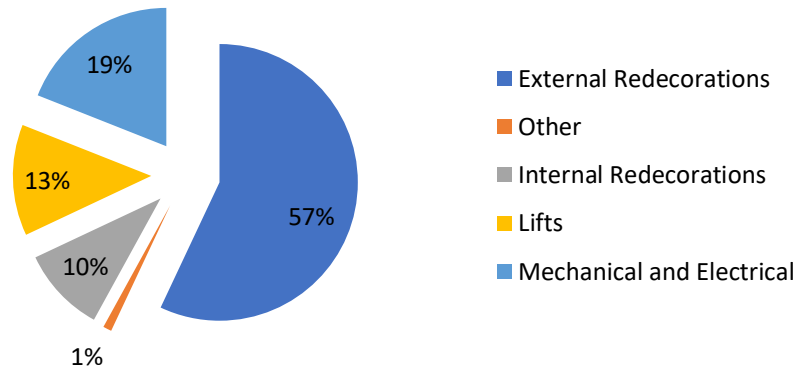
Maurer Car Park



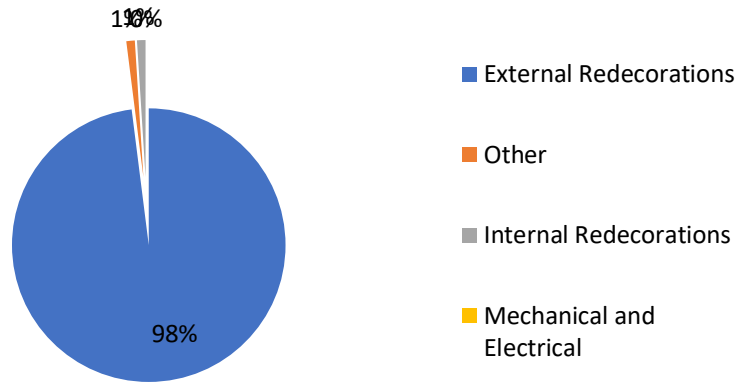
Metcalfe Car Park



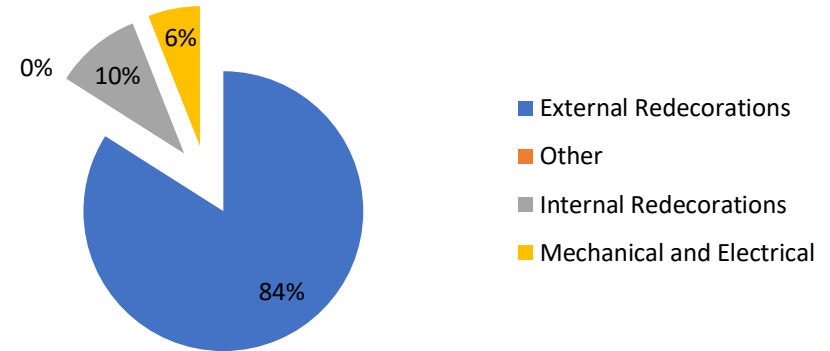
Moseley Car Park



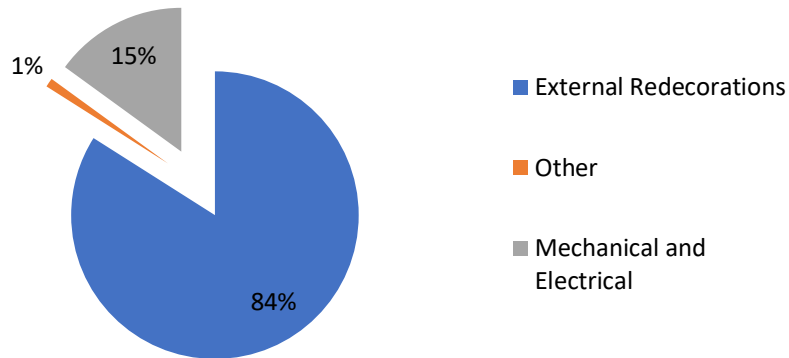
Da Vinci Commercial



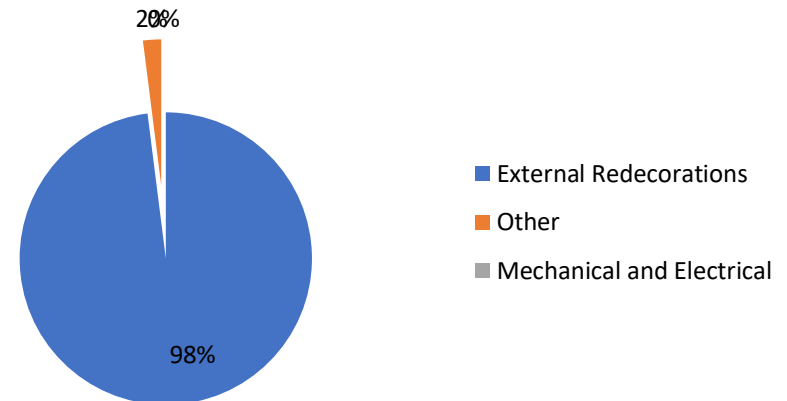
Maurer Commercial



Metcalfe Commercial



Newton Commercial



Osier Commercial

